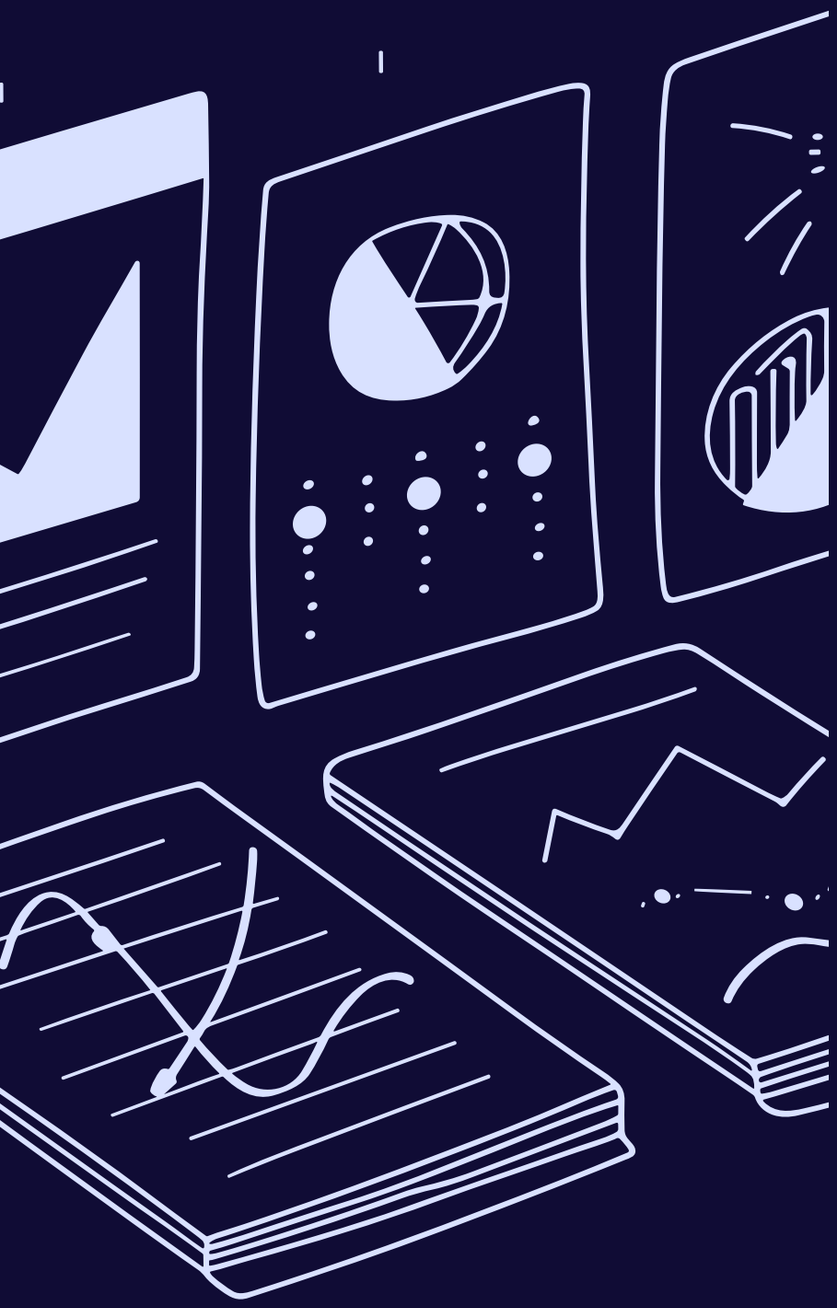

Customer Health & Revenue Optimization

Reducing Churn. Expanding Customer Lifetime Value. Improving Revenue Stability.

Prepared For: Client Leadership Team

Prepared By: Saiteja Jakkula, Business Analyst

Date: May 2026

Deliver a strategic customer health analysis focused on: Churn reduction · Revenue optimization · Customer retention strategy · Long-term profitability improvement

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EXECUTIVE SUMMARY

Executive Summary

The analysis reveals that while the business has built a strong recurring revenue base, customer churn remains the largest threat to sustainable growth.

5,000

Total Customers

$123.6K

Total Monthly Recurring Revenue

39.0%

Overall Churn Rate

$297.7

Average Customer LTV

Pro

Highest Revenue Plan

Premium

Highest Value Segment

Strategic Conclusion: The company is currently prioritizing acquisition growth over customer retention efficiency. Reducing churn by even 10–15% could unlock significant recurring revenue growth without increasing acquisition spend.

> *"The fastest path to profitability is not acquiring more customers — it is retaining the right customers longer."*

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BUSINESS PROBLEM

Business Problem

Despite strong customer acquisition, the business faces revenue instability due to elevated customer churn.

Current Challenges

- Nearly 4 out of 10 customers churn
- Revenue leakage is impacting long-term growth
- Low-tenure customers leave before reaching profitability
- High acquisition costs reduce operating efficiency
- Customer retention strategy lacks segmentation focus

Business Impact

Business Area	Impact
Revenue Predictability	Declining
Customer Lifetime Value	Underutilized
Profitability	Pressured
Growth Efficiency	Reduced
Expansion Opportunities	Limited

⚠ **Key Strategic Question:** How can the company improve customer retention while maximizing long-term customer value?

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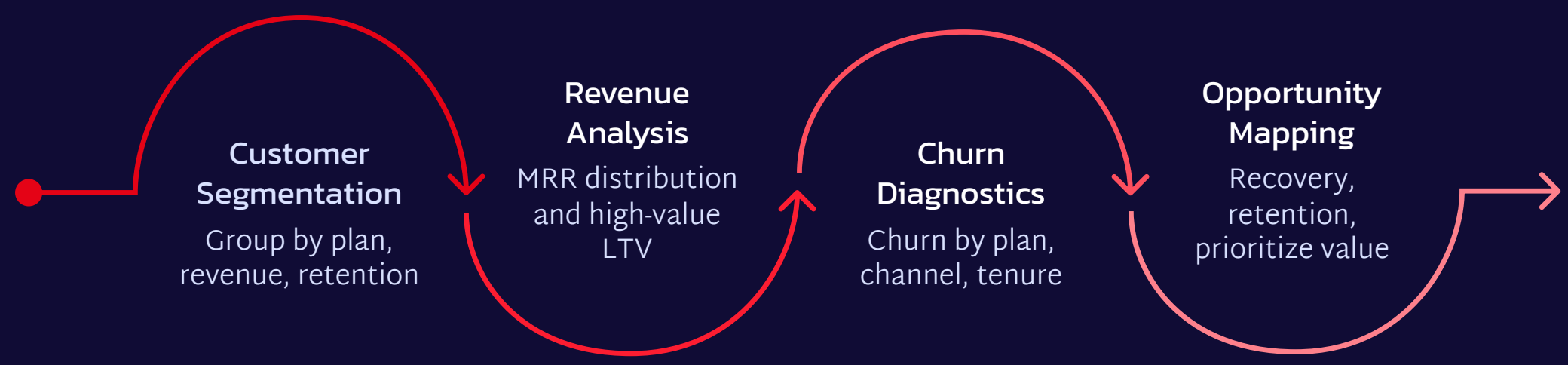
ANALYTICAL APPROACH

Analytical Framework

A structured consulting approach was used to identify the major drivers of churn and customer value.



This structured approach enables systematic identification of churn drivers and revenue optimization opportunities across the customer base.

Analysis Performed

01

Customer Segmentation

Plan-wise customer behavior, revenue contribution by customer type, retention performance comparison

02

Revenue Analysis

Monthly recurring revenue distribution, high-value customer identification, lifetime value evaluation

03

Churn Diagnostics

Churn by plan, churn by acquisition channel, tenure-based churn patterns

04

Strategic Opportunity Mapping

Revenue recovery opportunities, retention improvement initiatives, high-value customer prioritization

Tools & Methods

- Excel
- Business KPI Analysis
- Cohort Thinking
- Segmentation Analysis
- Revenue Optimization Framework

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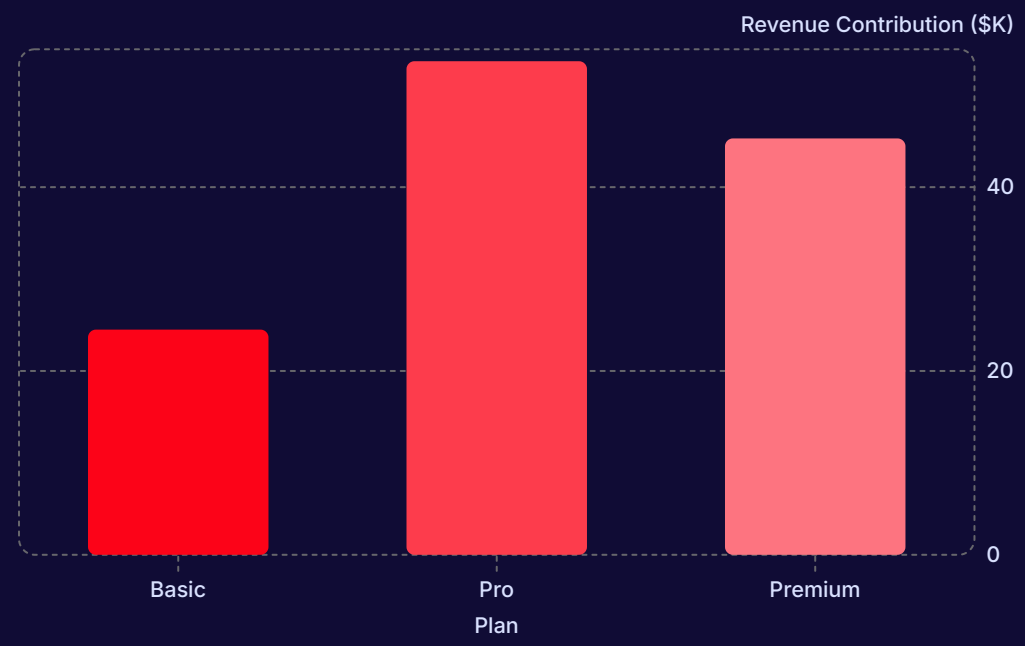
CUSTOMER SEGMENT PERFORMANCE

Customer Segment Analysis

Customer value and churn behavior vary significantly across subscription plans.



Plan	Customers	Churn Rate	Revenue	Avg LTV
Basic	2,454	40%	$24.5K	$120.6
Pro	1,791	41%	$53.7K	$358.1
Premium	755	31%	$45.3K	$729.9

Premium Customers

- Lowest churn rate
- Highest lifetime value
- Most profitable segment
- Strong retention behavior

Pro Customers

- Largest revenue contributor
- High churn risk despite strong revenue generation
- Immediate retention opportunity exists

Basic Customers

- Large customer volume
- Lowest monetization efficiency
- High churn with low LTV

Strategic Interpretation: The business should prioritize retention efforts toward Pro and Premium customers where revenue impact is highest.

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CHURN ANALYSIS

Churn Driver Analysis

The analysis shows that churn is concentrated among shorter-tenure and lower-engagement customer groups.

39.0%

Overall Churn Rate

Key Churn Observations

Short-Tenure Customers

- Highest cancellation probability
- Weak onboarding engagement
- Low product adoption behavior

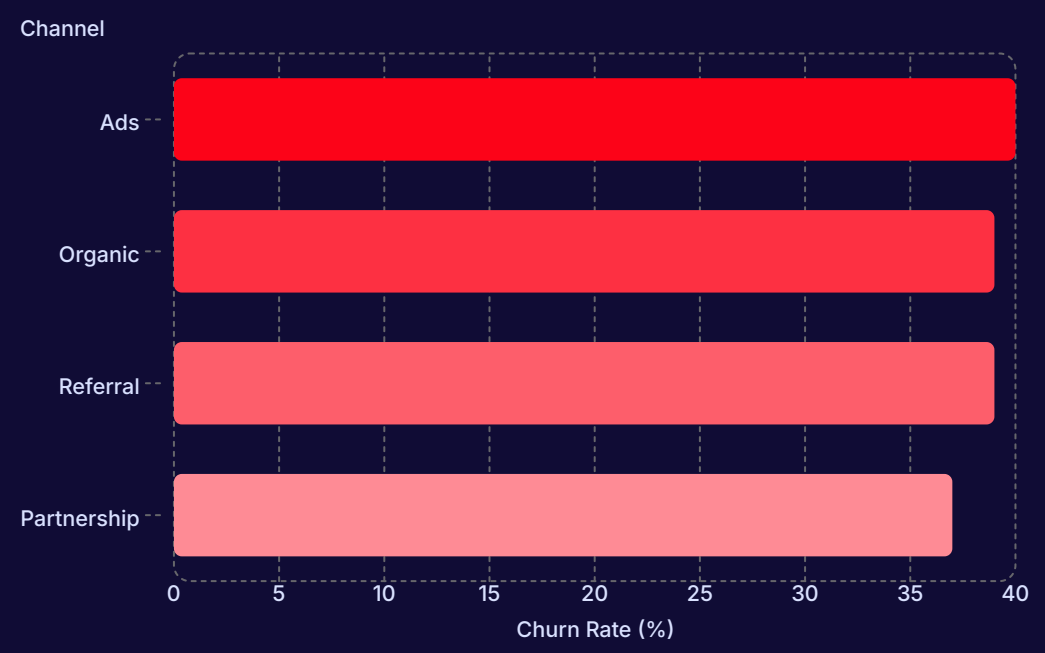
Lower-Tier Plans

- More price-sensitive users
- Lower switching barriers
- Lower perceived product value

Acquisition Quality Gap

Customers acquired through low-intent channels demonstrate weaker retention performance.

Churn by Acquisition Channel



Acquisition Channel	Customers	Churn Rate
Ads	1,747	40%
Organic	2,005	39%
Referral	1,013	39%
Partnership	235	37%

Strategic Conclusion: Customer retention problems are operational, not market-driven. The opportunity lies in improving onboarding, engagement, and value realization.

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REVENUE & LTV ANALYSIS

Revenue Optimization Analysis

The business generates strong recurring revenue but leaves substantial long-term value unrealized due to churn.

Revenue Snapshot

Metric	Value
Monthly Recurring Revenue	$123.6K
Average Customer LTV	$297.7
Highest LTV Segment	Premium
Revenue Risk Exposure	High

Key Insights

Revenue Concentration Risk

A large portion of revenue is dependent on customers with elevated churn risk.

LTV Expansion Opportunity

Increasing customer tenure has a direct positive impact on revenue stability, profitability, upsell opportunities, and margin expansion.

Premium Segment Advantage

Premium customers generate 6x higher LTV than Basic customers, with better retention behavior and stronger recurring revenue quality.

Strategic Interpretation: The company should shift from acquisition-heavy growth to retention-led revenue expansion.

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STRATEGIC RECOMMENDATIONS

Strategic Recommendations

1

Strengthen Early Customer Onboarding

Actions: Build structured onboarding journeys, introduce customer success checkpoints, improve first-30-day engagement.

Expected Impact: Lower early-stage churn, faster customer activation, improved retention rates.

2

Launch Retention Program for Pro Customers

Actions: Target high-value churn-risk users, offer proactive engagement campaigns, deploy usage-based retention triggers.

Expected Impact: Protect largest revenue segment, reduce recurring revenue leakage, increase customer tenure.

3

Expand Premium Customer Adoption

Actions: Improve upgrade pathways, introduce premium value messaging, incentivize migration from Basic plans.

Expected Impact: Higher LTV, stronger revenue quality, better retention performance.

4

Improve Acquisition Quality

Actions: Prioritize higher-retention channels, optimize marketing spend efficiency, focus on long-term customer quality metrics.

Expected Impact: Better retention economics, improved profitability, reduced CAC waste.

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BUSINESS IMPACT ESTIMATION

Estimated Business Impact

If the business executes the proposed retention strategy, substantial financial upside can be unlocked.

Estimated Outcomes

Initiative	Expected Business Impact
Reduce Churn from 39% to 30%	Significant revenue stabilization
Improve Premium Conversions	Higher LTV growth
Increase Customer Tenure	Improved profitability
Retention-Led Growth Strategy	Lower acquisition dependency

Financial Benefits

- Higher recurring revenue stability
- Better margin performance
- Reduced customer acquisition waste

Operational Benefits

- Improved customer satisfaction
- Stronger customer engagement
- More predictable forecasting

Executive Benefits

- Sustainable long-term growth
- Higher valuation potential
- Better market competitiveness

"Retention is not a support function — it is a growth strategy."

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FINAL RECOMMENDATION & NEXT STEPS

Final Recommendation

The company has already achieved scale. The next phase of growth must focus on customer quality, retention efficiency, and revenue durability.

1

Immediate Priorities

- Reduce early-stage churn
- Protect Pro customer revenue
- Improve onboarding experience

2

Medium-Term Priorities

- Expand Premium customer adoption
- Implement customer health scoring
- Build proactive retention analytics

3

Long-Term Priorities

- Develop retention-led operating model
- Shift KPIs from acquisition volume to customer value
- Build predictive churn management capabilities

Final Executive Message: The data indicates that sustainable growth will come from maximizing customer lifetime value rather than accelerating customer acquisition alone. By focusing on retention, engagement, and customer quality, the company can significantly improve revenue stability and long-term profitability.

Thank You

Questions & Discussion

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